

Tentative Rulings for Department 501

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Tentative Ruling

Re: **City of Fresno v. Erik Honarchian**
Superior Court Case No. 25CECG00426

Hearing Date: June 24, 2026 (Dept. 501)

Motion: By Plaintiff for Order for Prejudgment Possession

Tentative Ruling:

To grant. Plaintiff, City of Fresno, is authorized to take possession of the property on the tenth (10th) day following the date of service of this order.

Explanation:

Plaintiff, City of Fresno ("plaintiff" or "Fresno") moves to take prejudgment possession of the Subject Property, located at 1585 North Blackstone Avenue in Fresno, Assessor's Parcel Number ("APN") 451-064-18. The Subject Property is currently owned by defendant owner, Erik Honarchian ("Honarchian"), whose sole tenant is Eddie's Auto world ("EAW") (collectively "defendants.") A Notice of Lis Pendens was recorded on February 21, 2025. (Amended Linden Decl., ¶12.)

The reason for the instant action is the Fresno's plan to construct the Blackstone McKinley BNSF (Burlington Northern-Santa Fe) Grade Separation Project (the "Project") which will eliminate two existing at-grade railroad crossings off the BNSF mainline tracks at North Blackstone Avenue and East McKinley Avenue by separating train traffic from pedestrians, cyclists, and moving vehicle traffic to an underpass below the BNSF mainline track. (Complaint ¶13; Bain Decl., ¶13.) The Blackstone Avenue and McKinley Avenue corridors serve as primary routes for the community, the City's Bus Rapid Transit System, emergency vehicles, and is also part of the Blackstone Smart Mobility Plan providing Class IV protected bicycle facilities along Blackstone Avenue through the Project area. (Complaint, 3; Bain Decl., ¶13.) The City Council has approved the Measure C Cooperative Project Agreement for the Project and subsequent amendments (collectively the "Agreement"), which currently provides approximately \$58,400,000 of Project funding. (Bain Decl., 3.) Project ID PW00937, Fund 22517, Org 189901, was established to disburse the necessary funds for the acquisition of the Subject Property and to pay for litigation expenses. (Bain Decl., 3.)

A plaintiff can move for prejudgment possession of property subject to eminent domain. (Code Civ. Proc., §1255.410, subd. (a).) "If the motion [for prejudgment possession] is opposed by a defendant...within 30 days of service, the court may make an order for possession of the property upon consideration of the relevant facts and any opposition, and upon completion of a hearing on the motion, if the court finds each of the following:

(A) The plaintiff is entitled to take the property by eminent domain.

(B) The plaintiff has deposited pursuant to Article 1 (commencing with Section 1255.010) an amount that satisfies the requirements of that article.

(C) There is an overriding need for the plaintiff to possess the property prior to the issuance of final judgment in the case, and the plaintiff will suffer a substantial hardship if the application for possession is denied or limited.

(D) The hardship that the plaintiff will suffer if possession is denied or limited outweighs any hardship on the defendant or occupant that would be caused by the granting of the order of possession.

(Code Civ. Proc., §1255.410, subds. (d)(2)(A)-(D).)

First, it is undisputed that Fresno is entitled to take the property by eminent domain. (Defendants' Opposition, pg. 5:17-23.)

Second, under Code of Civil Procedure section 1255.010(a), "the plaintiff may deposit with the State Treasury the probable amount of compensation, based on an appraisal, that will be awarded in the proceeding." The appraisal is for "the fair market value of the property taken ..." (Code Civ. Proc., § 1263.320, subd. (a); see also Gov. Code, § 7267.2, subd. (a) ["The amount shall not be less than the public entity's approved appraisal of the fair market value of the property."].) The making of such a deposit is required in connection with seeking an order for prejudgment possession. (Code Civ. Proc., § 1255.410, subds. (d)(1)(B), (d)(2)(B).)

Plaintiff deposited \$375,384.00 with the State Treasurer for the full taking of the Subject Property. (Amended Linden Decl., ¶¶ 3-5.) The \$375,384.00 represents deposits on three separate valuations. The first deposit of \$140,000 made on March 19, 2025, was based on the value of the real estate, based on the appraisal report prepared by K.R. McBay Appraisal Company ("KRMAC"). (Amended Linden Decl., ¶3.) The second deposit of \$141,884, made on July 21, 2025, pertained to the probable compensation in an appraisal report for the value of an advertising sign on the Subject Property prepared by Desmond, Marcello & Amster ("DM&A"). (Amended Linden Decl., ¶4, Ex. A.) The third deposit of \$93,500 made during September, 2025, is based on a report entitled "Appraisal Summary Statement for Improvements Pertaining to Realty" for the Subject Property, dated January 5, 2024. (Amended Linden Decl., ¶5, Ex. B.)

Defendants contest that the amounts deposited do not "reflect the true fair market value or income-producing nature of the Subject Property." (Defendants Opposition, pg. 6:3-5.) Defendants argue the valuations "fail[] to take into consideration the superior commercial location, placement along one of Fresno's principal traffic arteries, and the added visibility evidenced by the billboard on site." (Defendants Opposition, pg. 6:5-7.)

Third, Fresno has demonstrated the need for prejudgment possession. Fresno's Moving papers make it clear that the "Project was scheduled to begin construction in the spring of 2026. The Project is now scheduled to begin construction in the early summer of 2027." (Lee Decl., ¶ 3.) Furthermore, Fresno requires prejudgment possession to fully vacate the property and demolish the improvements. (*Id.*) Defendants cite no authority for their argument that possession cannot be granted unless the project is in serious, immediate peril of failing or that the project may lose funding. (Opposition Papers, pg. 7:13-15.)

By contrast, defendants' argue that "[t]he Project will deprive EAW the ability to continue its business operations," and Erik Honarchian "will be entirely deprived of his real property as well as his income from the monthly leases and his employment with EAW." (Defendants' Opposition, pps. 8:27-28; 9:7-9.)

Accordingly, the Court grants Fresno's motion for prejudgment possession.

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